

*Abnormal Rentals Used as Basis of Valuation.* It was indeed true that the scale of rentals prevalent in 1928–1929 would yield an abundantly high rate of income on the cost of a new real estate venture. But this condition could not properly be interpreted as making a new building immediately worth 50% in excess of its actual cost. For this high income return was certain to be only temporary, since it could not fail to stimulate more and more building, until an oversupply of space caused a collapse in the scale of rentals. This overbuilding was the more inevitable because it was possible to carry it on without risk on the part of the owner, who raised all the money needed from the public.

*Debt Based on Excessive Construction Costs.* A collateral result of this overbuilding was an increase in the cost of construction to abnormally high levels. Hence even an apparently conservative loan made in 1928 or 1929, in an amount not exceeding two-thirds of *actual cost*, did not enjoy a proper degree of protection, because there was the evident danger (subsequently realized) that a sharp drop in construction costs would reduce fundamental values to a figure below the amount of the loan.

*Weakness of Specialized Buildings.* A third general weakness of real estate-bond investment lay in the entire lack of discrimination as between various types of building projects. The typical or standard real estate loan was formerly made on a home, and its peculiar virtue lay in the fact that there was an indefinitely large number of prospective purchasers or tenants to draw upon, so that it could always be disposed of at some moderate concession from the current scale of values. A fairly similar situation is normally presented by the ordinary apartment house, or store, or office building. But when a structure is built for some *special* purpose, such as a hotel, garage, club, hospital, church, or factory, it loses this quality of rapid disposability, and *its value becomes bound up with the success of the particular enterprise for whose use it was originally intended*. Hence mortgage bonds on such structures are not actually real estate bonds in the accepted sense, but rather *loans extended to a business*; and consequently their safety must be judged by all the stringent tests surrounding the purchase of an industrial obligation.

This point was completely lost sight of in the rush of real estate financing preceding the collapse in real estate values. Bonds were floated to build hotels, garages, and even hospitals, on very much the same basis as loans made on apartment houses. In other words, an appraisal show-